

Risk Management

First Mills continues to advance the maturity of its Enterprise Risk Management (ERM) framework by integrating a proactive and disciplined approach into every part of the business.

The Company recognizes that strong risk management is essential to protecting performance, strengthening resilience and enabling the strategic choices that drive long-term progress. By systematically identifying, assessing and mitigating risks, First Mills creates the clarity and confidence needed to operate in a dynamic market environment, support its growth priorities and reinforce its commitment to safeguarding the Kingdom's food security system.

Enterprise Risk Management Framework

First Mills has developed and implemented a comprehensive ERM Framework aligned with the COSO ERM principles. This framework provides a structured and integrated approach to identifying, assessing, managing and monitoring risks across all business functions to support the achievement of strategic objectives.

It emphasizes governance, accountability and risk ownership at all organizational levels, supported by clear policies, defined risk appetite and systematic reporting mechanisms. The framework also integrates risk management into strategic planning, operational processes and performance management, ensuring risk-informed decisions enhance resilience, optimize resource allocation and safeguard Stakeholder value.

Risk Management Governance

The Audit Committee plays a central oversight role in maintaining the effectiveness, adequacy and continuous improvement of the Company's overall risk management system, including the review of principal risks, mitigation strategies and the alignment of risk management practices with the Company's strategic objectives. In addition, the Governance, Risk and Compliance (GRC) Department plays a key role in providing comprehensive monitoring and supervision of the risk management framework across the organization.

The GRC Department has established the necessary frameworks, policies and risk information systems and regularly organizes periodic workshops and meetings with C-level executives and risk champions

from business units to review the risk process, assess emerging risks and make sure that the risk management practices remain effective and aligned with the Company's strategic goals.

The Company's governance structure reflects a clear division of responsibility, where the Board and Audit Committee provide oversight, the CEO and executive management implement and manage risks and the GRC function enables consistency, monitoring and continuous improvement of the risk management process.

Risk Identification

The Risk Identification process at First Mills is built on a structured and objective-driven approach that ensures comprehensive coverage of all business activities and controls. Risks are identified in alignment with the Company's strategic objectives, as well as its corporate-level policies and unit-level procedures, to make certain both enterprise-wide and operational risks are effectively captured. This process follows a systematic methodology beginning with the assessment of inherent risks, followed by an evaluation of the existing controls, leading to the determination of the residual risks that remain. This layered approach provides a realistic and practical understanding of the organization's risk exposure, enabling management to prioritize areas requiring attention. By clearly distinguishing between inherent, controlled and residual risks, First Mills confirms that the Risk Response Plans are more specific, targeted and effective in mitigating threats and capitalizing on opportunities aligned with the Company's goals and strategies.

Risk Response

The Risk Response Plan at First Mills is developed by the risk owner under the supervision of the Unit Head and the monitoring of the GRC Department to retain alignment with the Company's overall risk management framework. Each plan outlines specific actions to mitigate, transfer, accept or avoid identified risks, ensuring responses are both practical and proportionate to the level of exposure. Risk response plans related to major or strategic risks are escalated to the executive management for review, support and formal approval.

The GRC Department conducts monthly follow-ups to monitor the progress of implementation and verify that response deadlines are met. In cases of delays, the GRC Department requests formal justification from the risk owners and evaluates the adequacy of the revised timelines. Furthermore, the GRC Department makes sure all risk responses are efficient and effective – both in achieving their intended risk reduction objectives and in maintaining cost-effectiveness to support the Company's strategic goals and operational performance.

Risk Management in 2025

This initiative is centered on the implementation of a comprehensive risk register within every operational and support unit, assigning ownership to dedicated risk champions.

For the successful adoption and embedding of best practices, we have conducted multiple targeted workshops for both C-Level Executives (focusing on governance and strategic alignment) and the appointed risk champions (focusing on process execution and register maintenance).

We achieved significant milestones in enhancing the organization's ERM framework.



Risk register implementation and ownership:

We successfully implemented a risk register across every organizational unit. This initiative established clear accountability by mandating that each unit's register be owned and maintained by a designated risk champion. A comprehensive update of the risk register for all units was successfully completed during 2025, which effectively captures current and emerging risks.



Enhanced risk management process:

To ensure effective adoption and integration, multiple targeted workshops were conducted for both C-Level Executives and risk champions. These sessions focused on elevating understanding and performance regarding the new risk management processes.



Framework and methodology development:

We developed a robust, updated Risk Management Framework and introduced a new risk register template. This framework and template incorporate clear methodology aligned with best practices to standardize risk identification, assessment and response across the entity.

Risk Management continued

Risk Response

The Principal Risks Report is prepared quarterly by the GRC Department through a comprehensive analysis of the major risks identified and reported by all departments across the organization. This report consolidates critical information on each key risk, including its description, impact assessment, risk response plan, implementation deadlines and the responsible parties.

The GRC Department continuously monitors the progress of these risk responses throughout the quarter to ensure timely execution and effectiveness. In each reporting cycle, newly identified or emerging risks are also evaluated and incorporated into the upcoming Principal Risks Report to maintain a current and dynamic risk profile. The finalized report is then presented to the executive management, providing them with a clear view of the Company’s principal risk exposures, mitigation progress and areas requiring strategic attention or management support.

Economic and Financial Risks

Mitigation Measures	
Interest rates	Interest rate risk is periodically assessed by a specialized team that analyzes the local and international economy, raw material markets for products and their correlation with interest rates; the team subsequently takes necessary actions to address any potential risks.
Currency exchange rate volatility	Currency exchange rate volatility may affect the Company's obligations owing to conducting some transactions in currencies other than the Saudi Riyal. However, First Mills continuously studies the global exchange rate market and understands the fluctuations in the currencies it deals with, in order to mitigate these risks to their lowest levels.
Credit risks	The Customer Credit Risk Management Department establishes credit limits for each customer and monitors outstanding accounts receivable. The management considers factors that may affect credit risk related to its customer base, including default risks associated with the business activities of its customers. Given the nature of First Mills’ business, a significant portion of revenue is from cash sales; therefore, the Company is not materially exposed to credit risks.
Liquidity deficit and expansion of borrowing	The Company has strong cash liquidity, which helps it face future challenges should it need to inject liquidity. It also benefits from a robust financial position that can mitigate liquidity deficit risks.

Operational Risks

Mitigation Measures	
Increased costs and operating expenses	Periodically reviewing costs and making certain they are appropriately controlled to achieve optimal results
Occupational safety incidents	Committing to local and international safety and health laws, employing highly competent employees and providing continuous training
Technical and technological failures	Relying on advanced systems and developing contingency plans for addressing any potential failures
Poor storage and inventory mismanagement	Managing inventory based on experience and demand forecasts
Production defects	Utilization of best-in-class machinery and equipment and conducting all necessary tests to minimize production defects
Supply chain disruptions and raw material price volatility	Hedging against price fluctuations, maintaining strategic relationships with suppliers and monitoring inventory levels to avoid being affected by any disruptions

Regulatory Risks

Mitigation Measures	
Government subsidies	Purchasing wheat from GFSA, at subsidized prices and under more favorable terms. The Company seeks to expand its portfolio of unsubsidized products to reduce future changes that may impact subsidies.
Regulatory compliance	The Company adheres to numerous regulatory requirements, including those specific to GFSA and the Ministry of Commerce, among other regulatory authorities.
License scope	Renewal of permits and licenses through specialized teams to reduce the risk of license suspension.
Taxes and fees	The Company is subject to zakat and value-added tax (VAT), while considering any government decisions related to taxes and fees preemptively.
Laws and regulations	Compliance with all applicable laws and regulations in Saudi Arabia, with a specialized team in place to monitor new legislation.
Saudization and foreign labor requirements	Commitment to Saudization employment ratios and enhancing training for young Saudi nationals to mitigate risks associated with workforce Saudization.

Risk Management continued

Market Risks

Mitigation Measures	
Competitive environment	First Mills may face increased competition in the local market from domestic and international food and feed companies. However, the Company regularly monitors the market, prices and promotions to enhance its competitive edge, understand challenges and opportunities and adopt strategies to strengthen its brand and continuously improve product quality.
Concentration of Company's revenues in specific geographic regions	The Company studies expansion opportunities and increases penetration in accordance with regulations, through product development and enhanced market share, to reduce geographical revenue concentration.
Changing consumption patterns	First Mills updates production and marketing strategies in line with developments in the food and feed sector to meet consumer expectations to deliver the best quality.
Uncontrollable market conditions	The Company may be affected by prevailing global political and economic conditions, which may lead to increased inflation rates and commodity costs. In this respect, First Mills continuously monitors market variables and assesses their impact on customers and suppliers. To address these risks, the Company employs effective strategies that include improving production, developing storage technologies and flexibly adapting to raw material market fluctuations.
Natural disasters and climate change	The Company continuously develops contingency plans to address natural disasters and climate changes, including rainy seasons that may affect the feed product, with the aim of mitigating potential damages.
Eruption of viruses and infectious diseases	First Mills is committed to developing pandemic preparedness plans, drawing upon the effective procedures implemented by the Kingdom to control viral outbreaks, as was the case in the COVID-19 pandemic.
Cybersecurity	A cybersecurity incident may lead to confidential and sensitive data leaks and disrupt the business continuity and operations, which may eventually result in harming the Company's reputation. First Mills addresses these risks through the following: • Executive management closely monitors the effectiveness of the Company's cybersecurity system. • The Company continuously relies on advanced technologies to identify and mitigate all security threats. • First Mills implements systems to enhance the technical infrastructure to ensure resilience and readiness. • The Company adopts effective business continuity plans to reduce disruptions in the event of a technical failure.

Cybersecurity Audit and Improvement Plan

First Mills conducted a comprehensive cybersecurity audit to assess the effectiveness of its information security controls, data protection measures and overall resilience against cyber threats. The audit was designed to guarantee full compliance with Saudi National Cybersecurity Authority (NCA) regulations and alignment with international cybersecurity standards and best practices.

Based on the assessment, a detailed Cybersecurity Improvement Action Plan has been launched, with clear responsibilities, timelines and monitoring mechanisms to enhance access management, network security, incident response readiness and employee awareness and to safeguard the Company's digital assets.

